Your Brain Wasn't Built For This

OUR BIG, FAT, brilliant brains, which enabled us to dominate the Anthropocene era of this planet, also work against us in the modern world.

We have seen how cognitive issues like Dunning-Kruger, narrative fallacy, recency effect, sunk cost fallacy, loss aversion, endowment effect, and hindsight bias impact our decision-making. They cause us to make bad decisions and engage in poor behavior that ultimately works against our portfolios.

To better manage our behaviors as investors, we need some strategies to outfox our own brains. Here are some ways how.

Disconfirm your beliefs

To counter our inherent confirmation bias, seek information that disproves your prior beliefs. Force yourself to seek out and read opposing points of view. You may find this to be an incredibly frustrating exercise—everyone who disagrees with you is, obviously, an idiot—but ultimately, it will make you a sharper thinker.

Moot Court is one of the more interesting things you do in law school. You are given a case with a set of facts and specific laws to apply. As you prepare your case, you may not even know which side you will be arguing for (or against). You have to truly understand both sides of the case. You can argue pro or con with far more effectiveness if you know what the strengths and weaknesses of the opposing party are. Doing this avoids the confirmation biases that affect most advocates—and investors.

Every forecaster who predicts a stock market top should be able to explain why the rally could go on for years. Every pundit who assures us that